

MARCH 2026

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AUTOMOTIVE & MOBILITY INDUSTRY STRATEGY

Emergence of Autonomous Vehicles in the Automotive Industry



I. Executive summary

SUMMARY

On February 23, 2026, Uber launched a platform that structurally separates the automotive industry into two camps: platform owners capturing 40–50% gross margins, and hardware suppliers stuck at 5–10%. A European OEM has 18 months to decide which side it's on. Our analysis recommends a single course of action: enter as Uber's hardware partner now, build a proprietary MaaS data layer in parallel, and exit Uber dependency before network lock-in in 2027–2028.

The event	Uber Autonomous Solutions (Feb. 23, 2026) aims to be a full-stack AV commercialization platform: data, UX, fleet ops, insurance.
Why it matters	Uber now controls every layer above the vehicle. OEMs risk becoming the Foxconn of mobility.
The market	$1.0bn today vs. $25–100bn+ by 2030 (Goldman Sachs estimates) and 40–50% gross margin for platform operators vs. 5–10% for hardware (OEMs).
The question	Does a European OEM have a viable path to capturing AV value. And if so, how?
Our method	Hypothesis-driven (4S-method) with 3 MECE issues tested against one central hypothesis
Our conclusion	**Posture C: enter Uber ecosystem for cash flow + data, build proprietary MaaS, exit dependency by 2029**



II. PROBLEM STATEMENT

PROBLEM STATEMENT

As Uber Autonomous Solutions crystallizes a platform architecture in which robotaxi operators could capture 40–50% gross margins while OEMs risk being reduced to hardware suppliers (and as the global robotaxi market scales from $1.5B today to $25–403B by 2030–2035) does a European OEM have a viable path to capturing autonomous mobility value, and which of the three strategic postures (vertical integrator, Uber-enabled partner, proprietary MaaS platform) offers the highest risk-adjusted return given a constrained 18–24 month decision window?

Trouble — Uber's platform now captures the commercialization layer — dispatching, fleet ops, UX, consumer data, and regulatory access — while OEMs are relegated to supplying the chassis at 5–10% hardware margin. Robotaxi operators plugging into Uber earn 40–50% gross margins on every ride. The OEM earns nothing after the vehicle sale.

Owner — CEO of a European OEM, allocating R&D capital 2026–2030 under EV recovery pressure

Sucess criteria — Identify which strategic posture maximizes value capture before platform lock-in closes the window

Constraints — 18–24 month decision window; post-EV balance sheet strain; L4 regulatory lag in EU vs. US/China; no existing MaaS platform at scale

Actors — Uber, NVIDIA, Waymo, Tesla, WeRide/Baidu, EU regulators, Tier-1 suppliers, consumers

This is not a technology question; it is a value capture question with a closing window. With 18–24 months before network effects lock in Uber's ecosystem (Parker, Van Alstyne & Choudary, *Platform Revolution*), a 30–35 point gross margin gap at stake, and no European OEM yet holding a platform position, doing nothing is the most expensive strategic choice available.

Sources:
Goldman Sachs Research, 2025

COMMERCIALIZATION IS THE NEW BOTTLENECK

Assumption: whoever achieves Level 4 autonomy most reliably wins the AV market. This framing drove the investment decisions. It shaped the OEM strategies.

But now, the question is no longer if L4 autonomous technology is ready, but **how companies will commercialize it**.

91 AV industry decision-makers found a striking shift: **high costs have overtaken technology as the #1 pain point** in the AV development pipeline — for the first time.

This was corroborated by an industry expert we interviewed, who argued that L4/L5 autonomy is currently unfeasible for OEMs acting alone. He noted that the prohibitive hardware costs simply do not align with the marginal benefits, making it difficult to justify the premium consumers would have to pay.

Yet OEM capital allocation strategies — optimized for technology milestones — have not been updated accordingly.



Goldman Sachs estimates robotaxi all-in costs (including corporate overhead and R&D)

This cost trajectory requires massive sustained capital investment through 2030.

Without a recurring revenue model, no OEM's balance sheet can fund this iteration cycle on a one-time vehicle sale model.

Expert interview, Aptiv (Advanced Platform System Development)

Goldman Sachs Research 2024



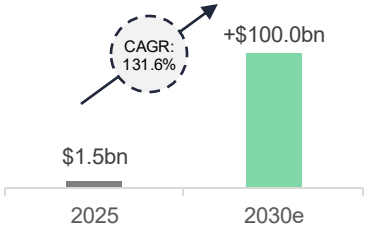
III. MARKET OVERVIEW AND CONTEXT

A $25BN ROBOTAXI MARKET IS TAKING SHAPE. NOW.

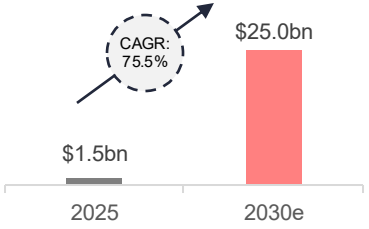
The robotaxi market grows from $1.5B today to $25–400bn by 2030–2035 (CAGR 75% on a conservative scenario, Goldman Sachs estimates), with vertically integrated operators targeting 40–50% gross margins, 3x the best-case margin of a traditional OEM. This is not a future bet, it is a present capital allocation decision.

I. Market growth expectations

Bull case[1]



Bear case[2]



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Even the bear case alone implies a 16.7x market expansion in 5 years (2025-2030) from a nascent $1.5bn to $25.0bn in ridesharing revenue alone.

II. Geographic race – L4

United States — Live

1,500+ robotaxis in 5 cities · 35,000 projected by 2030 · Uber targeting 28 cities by 2028

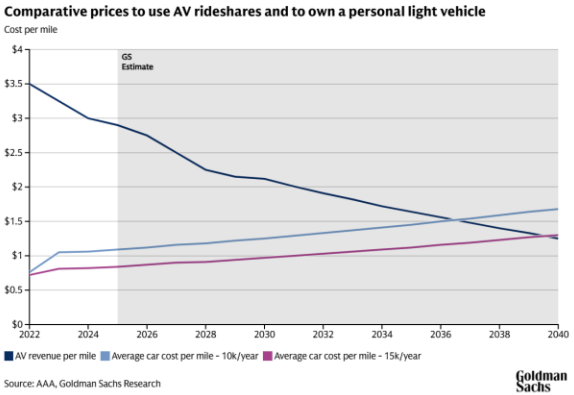
China — Scaling

500,000 robotaxis projected by 2030 · $14B market[3] · CAGR ~101% · Baidu Apollo 8M+ km

Europe — Absent

No commercial L4 at scale · EU regulatory framework expected 2027 earliest · 2–3 year lag · Failure of Navya, etc.

III. Economics context



OEM hardware margin — 5-15%

Platform operator margin — 40-50%

Margin gap — 30-35bps

Sources: (1), (2), Goldman Sachs – AV market forecast (2024), (3) Goldman Sachs – China's robotaxis market, the road to commercialization
Notes: Goldman Sachs reports measures ridesharing revenue only.

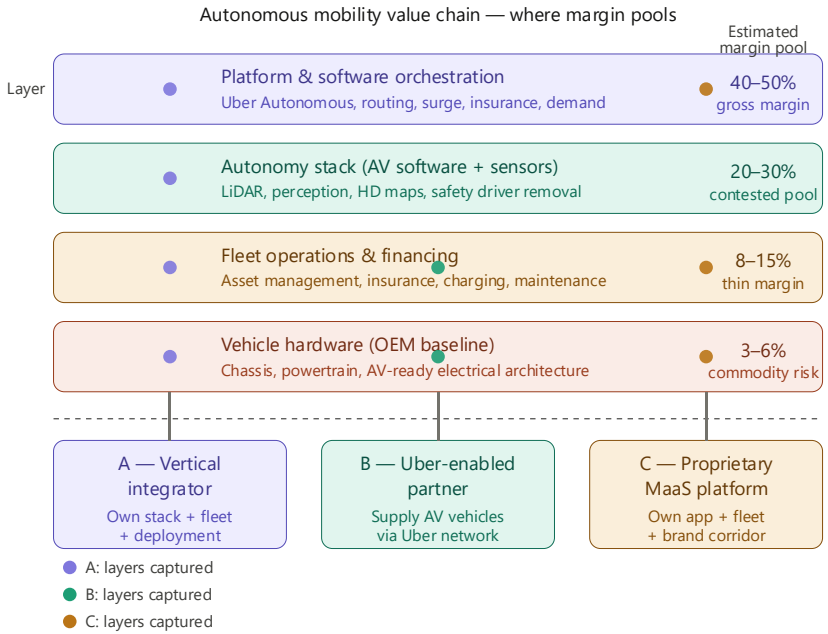
THE TRIGGER EVENT

Uber Autonomous Solutions is not a product but a platform executed. In under 24 months: 20+ AV partnerships signed, 28 cities targeted by 2028, a 100,000-vehicle fleet committed for 2027, and European OEMs - including Stellantis are publicly announced to be positioned as hardware suppliers, not platform owners.

The question is whether any European OEM acts before the positions become permanent.

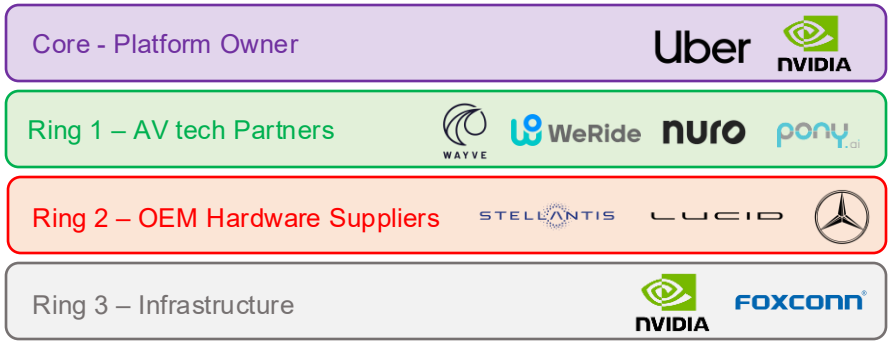
I. Autonomous vehicles value chain capture, *Goldman Sachs (2024)*

Gross margin estimate by layer – Goldman Sachs, Uber press release analysis



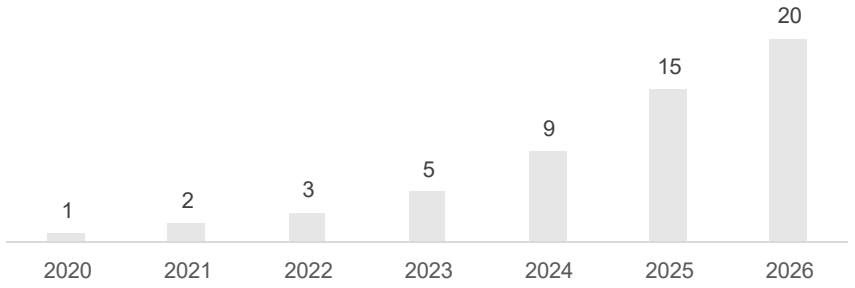
II. Ecosystem map

Partnership rings as of March 2026



III. Uber AV partnerships growth

Cumulative AV partners announced over the 2020-2026 period



Sources: (1), (2), Goldman Sachs – AV market forecast (2024), (3) Goldman Sachs – China's robotaxis market, the road to commercialization
Notes: Goldman Sachs reports measures ridesharing revenue only.

Uber - The operating system of Autonomous Mobility

Uber, a company that manufactures nothing and owns no vehicles, has built the infrastructure that makes vehicle ownership strategically irrelevant. In one press release, it positioned itself as the indispensable intermediary between AV technology and end consumers — globally, at scale.

I. Uber was expected to be a consumer of AV technology, not its orchestrator

The consensus in 2023–2024 was that Waymo, Tesla, and Chinese OEMs would build closed, vertically integrated stacks. Uber was seen as a distribution channel, not a platform architect. UAS inverts this: Uber is now the platform, and everyone else, including OEMs, is a vendor.

II The speed of ecosystem assembly is unprecedented

Uber has signed 20+ AV partnerships (Wayve, WeRide, Nuro, Avride, Pony.ai), secured a 100,000-vehicle fleet deal with NVIDIA, committed Stellantis to 5,000 L4 units, and launched commercial AV operations in Phoenix and Los Angeles. No OEM has moved this fast across this many dimensions simultaneously.

II The layers Uber controls are precisely the ones OEMs have never built

Uber has data (routing, demand, multi-sensor miles across 70+ markets), dynamic mapping, AV-specific insurance, fleet telemetry, in-car UX, regulatory access across 28+ cities. These are not capabilities an OEM can replicate in 12 months. This is 10+ years of operational learning, now offered as a service.



In 2010, Uber entered the taxi market. Taxis owned the cars, the licenses, the routes. Uber owned the app. By 2018, taxis were irrelevant. In 2026, Uber is entering the AV market. OEMs own the cars, the manufacturing, the engineering. Uber owns the platform. The question is not whether the analogy holds, it's how much time OEMs have left.

Sources: (1) Uber press release analysis



IV. UNDERLYING DYNAMICS

MODULARIZATION OF THE VALUE CHAIN

For a century, the automotive value chain was vertically integrated: the OEM owned vehicle design, manufacturing, distribution, and the customer relationship. Autonomous vehicles are dismantling this structure. The chain is splitting into three distinct layers — each with different economics, winners, and margins. The OEM currently owns the lowest-margin layer.

Industries begin integrated. As technology matures, the stack unbundles. Value migrates to whoever controls the customer interface and the inter-module standard (the platform).

PLATFORM LAYER — UBER
Owns the customer, the data, the commercial relationship, and the per-trip margin.
Built over 15 years and 10B+ trips.
Projected 40–50% gross margin.
No vehicle manufacturing required.

AV SOFTWARE LAYER — WAYMO, WAYVE, MOBILEYE
Owns the intelligence that makes autonomous operation possible.
High IP value, but dependent on platform partners for commercial deployment at scale.
Multiple providers reducing pricing power.

HARDWARE LAYER — EUROPEAN OEM TODAY
Owns the vehicle — the highest-capex, lowest-margin layer.
OEM earns once at point of sale. No recurring revenue. No customer relationship post-sale.
OEM value share in the automotive ecosystem is declining significantly

OWNERSHIP SHIFT CONFIRMS THE DOWNSTREAM OPPORTUNITY

Deloitte's study identifies the two most structurally significant shifts in profit pools for European OEMs:
ownership → usage (demand for flexible, usage-based products is surging) and
private → corporate ownership (assets transitioning from individual consumers to fleet/platform operators).
Both shifts transfer the customer relationship from the OEM to the mobility platform operator.

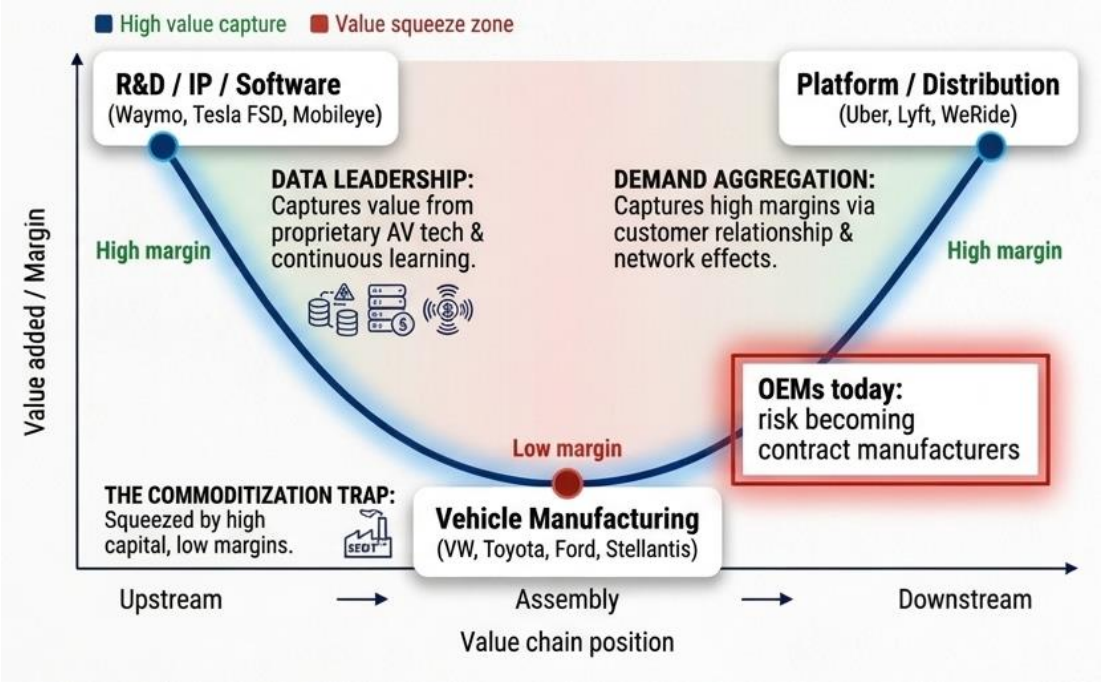
Sources:
Deloitte's Future of Automotive Mobility to 2035
The Modularisation Thesis (Christensen/Baldwin & Clark)

SMILE CURVE AND PLATFORM ECONOMICS

PLATFORMS AND NETWORK EFFECTS
Creates massive value by connecting multi-sided networks (riders, drivers, partners).

UBER's FLYWHEEL
More trips → richer data → better routing → more AV partners → more trips → higher utilization → higher margin.

Every additional trip on Uber's platform generates routing data, demand prediction improvements, and AV safety training data. Waymo has now completed 250,000+ rides/week across multiple US cities — each one widening the data gap between Uber-ecosystem operators and any new European entrant



Sources:
McKinsey — Getting on board with shared autonomous mobility, Jan 2025
Deloitte — Future of Automotive Mobility to 2035
McKinsey Waymo interview, September 2025.

THE COMMERCIALIZATION GAP

The chasm between "technically capable AV" and "commercially deployed at scale" is not bridged by better algorithms. It is bridged by operational capabilities: fleet management, AV-specific insurance, regulatory market access, demand density, and customer trust infrastructure. No European OEM has built any of them at scale. This explains both the margin gap and the structural advantage Uber holds.

The 5 chasms that Uber bridged

Fleet Operations
Fleet management, depot tooling, charging infrastructure, real-time AV Mission Control. The largest single cost in any AV deployment (50% — and the hardest to build from scratch.

Investment Sustainability Model
Robotaxi L4 deployment requires 5× the investment of earlier AV use cases. Without a recurring per-trip revenue model, no one-time vehicle sale balance sheet can fund the iteration cycle required through 2030.

Regulatory Access
70+ markets, 15 years built Dedicated policy teams, trusted regulator relationships, navigation of fragmented EU national AV frameworks.

Demand Density
NVIDIA Data Factory partner HD mapping trained on 10B+ real trips, demand data across 70+ markets, NVIDIA Data Factory for AV model training. AV safety and routing improve with every trip. This data gap widens every month.

Customer Trust Infrastructure
Brand trust at the booking touchpoint, in-car experience, 24/7support, safety record. 53% of consumers globally still cite safety as the #1 AV barrier.

The European OEM gap:
Which of these five can a European OEM credibly build or acquire?

Sources:
McKinsey, Getting on Board with Shared Autonomous Mobility (Jan 2025)
Deloitte, 2026 Global Automotive Consumer Study

CONSEQUENCES FOR OEMs

We can consider 2 major scenarios

OEM ACTS IN 18–24 MONTHS

Negotiates data rights into Uber partnership: per-trip revenue share, brand visibility at in-car touchpoint, OEM data rights on all trips, control on after sales, termination clause if proprietary platform scales.

Builds or acquires one commercial capability: fleet operations unit, MaaS app, or in-car OS. VW's MOIA (Hamburg) and Mercedes's Moovel are underfunded precedents that could be accelerated.

Deloitte's strategic projection: "Develop and use mobility platforms and mobility budget offerings to sell your own and partner products." Scenario A is this imperative in action.

Outcome by 2030: OEM retains meaningful share of the €140B European mobility market. Brand visible at consumer touchpoint. Negotiating power preserved. Revenue model partially transitioned.

OEM DELAYS BEYOND THE WINDOW

Platform network effects deepen: Every VW trip in LA generates data that accrues to Uber's model — not VW's. Every month of absence from AV platform deployments is a month of operational learning and customer relationship depth the OEM will never recover.

Market will consolidate: from highly fragmented to a handful of AV fleet operators. After consolidation, the OEM's negotiating terms with Uber are no longer set by the OEM. They are set by Uber, because dependency has deepened to the point where the OEM cannot walk away.

The financial floor: European OEM EBIT already at 3.6% (Roland Berger 2025) — the lowest sustainable margin. In Scenario B, as vehicle sales in urban markets decline and robotaxi demand rises, this floor continues to compress. **"The cost of inaction by industry players could be fatal."**

Sources:
Deloitte, Future of Automotive Mobility to 2035 (2023)

MECE ISSUE TRUE – DIAGNOSTIC MAP

Three mutually exclusive, collectively exhaustive top-level issues govern whether a European OEM can capture autonomous mobility value. 18-24 month decision window

I. Is autonomous mobility structurally accessible?

Domain: Market

1a
Viable EU-addressable TAM within the 2030 window?

1b
Are competitive moats (stack IP, data) surmountable?

1c
Do OEM assets constitute a durable entry right?

II. Which posture maximises risk-adjusted value?

Domain: Strategic choice

2a
Is vertical integration feasible in the window?

2b
What margin & data rights are negotiable with Uber?

2c
Can proprietary MaaS assets be built before foreclosure?

III. What enabling conditions must be secured?

Domain: Capability

3a
Build vs buy vs license AV stack?

3b
Minimum capital commitment for proof points?

3c
Which partnerships are critical path?

3d
Does governance allow required speed?

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Issue 1 resolved

Yes — but the accessible segment is geographically constrained
The EU-addressable robotaxi TAM by 2030 is €6–14B (vs. lower end $33.49B globally)[1], concentrated in 4–6 high-density urban corridors with advanced AV regulatory frameworks: Munich, Amsterdam, Paris 15e/13e, Stockholm. Entry requires a corridor-first strategy, not a national play. Existing OEM municipal relationships and AV-ready EV platforms constitute a real but time-limited entry right.

Sources: (1), https://www.thebusinessresearchcompany.com/report/robotaxi-global-market-report
Notes: **EU TAM** stands for European Union Total Addressable Market, applying a ~15–20% EU share to the lower end of the global range

MECE ISSUE TREE - SOLUTIONS

Issue 2 resolved – Posture scoring

Posture A — Vertical integrator

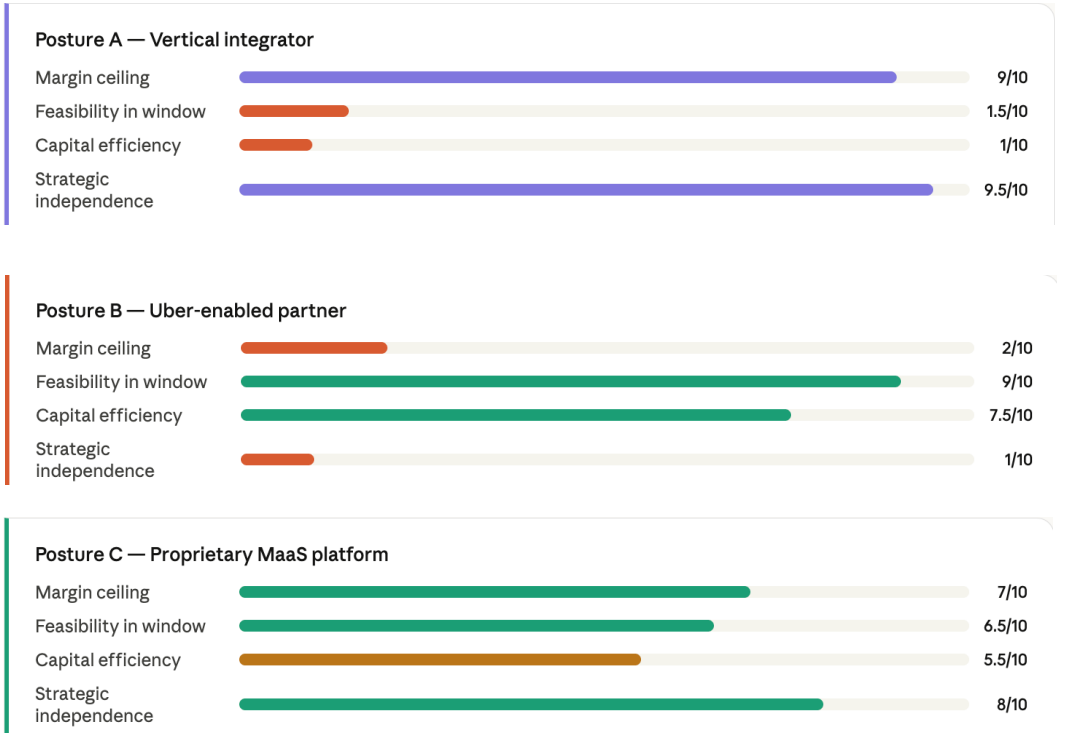
Highest ceiling, lowest probability. Only viable if AV stack acquisition can be completed within 6 months. Not recommended as primary posture.

Posture B — Uber-enabled partner

Fastest path to revenue, worst structural outcome. Creates irreversible dependency. Only viable as a bridge with hard contractual protections (data carve-outs, non-exclusivity clauses).

Posture C — Proprietary MaaS platform

Highest risk-adjusted return. Builds platform assets that compound independently of AV stack maturity.



MECE ISSUE TREE - SOLUTIONS

Issue 3 resolved — enabling conditions

Critical path actions that unlock all postures

Technology

License OEM autonomy; avoid building in-house

- Mobileye
- SuperVision
- Waymo OEM programme

Capital

€400–600M for single-corridor MaaS pilot

- MaaS pilot 200–400 vehicles
- 18-month runway to unit economics

Partnerships

City concessions + transit interoperability MoU

- In 2 EU corridors
- regulatory moat

Governance

Carve-out BU with separate P&L and incentives

Cannot be run as a division of legacy automotive



VI. RECOMMENDATIONS

STRATEGIC POSTURES

Posture A: Vertical Integrator

The OEM owns the full stack, from AV software to fleet operations and the consumer demand platform. This posture aims to capture significant gross margins (40-50%).

Benefit: Full margin capture, consumer relationship ownership

Challenge: High capital requirement ($2-4B) and long timeline (4-7 years).

Action: A 5-year ambition, initiated today with a minority equity stake in an AV stack partner to preserve the option without full capital commitment.

Viability: Viable as a seeded option until 2027 (after which NVIDIA deploys its software across the Uber platform)

Posture B: Uber-Enabled Partner

The OEM supplies AV-ready vehicles to the Uber Autonomous network, leveraging Uber for demand, pricing, and rider relationships.

To Negotiate: Guaranteed minimum fleet volume, Aftersales and maintenance control, per trip revenue participation, brand visibility at touchpoint, first party data rights.

Benefit: Fastest path to AV revenue (12-18 months) with minimal upfront capital.

Risk: Converts OEM into a hardware supplier, unless negotiations can be made.

Action: Use as a time-limited ***revenue bridge*** in secondary markets, with explicit data carve-out provisions, running parallel to Posture C.

Posture C: Proprietary MaaS Platform

The OEM builds and operates its own Mobility-as-a-Service platform in a defined urban corridor, initially human-supervised, with AV technology integrated later.

Benefit: Creates an OEM-owned demand-side asset (rider data, pricing algorithms, city concessions) within 18 months, independent of AV stack readiness.

Risk: Building rider base from scratch, executional and operational capabilities.

Goal: Positions the OEM for stronger negotiation with partners like Uber and justifies future Posture A investment.

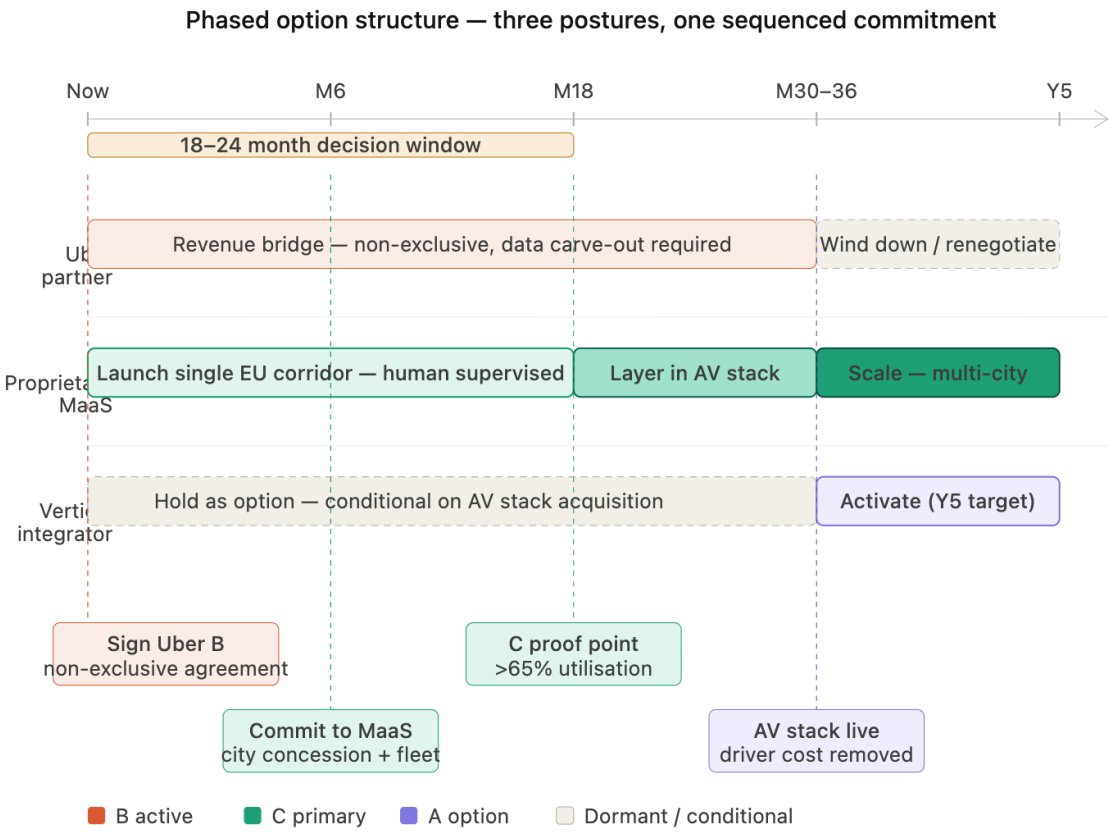
Requirement: Minimum viable commitment: single city, 200-400 vehicles, B2G concession agreement.

Sources:
Uber Autonomous Solutions press release (Feb 23, 2026)
McKinsey, Where Does Shared Autonomous Mobility Go Next? (Jan 2023), Europe's Next Mobility Leap May Be Driverless, Autonomous Vehicles Moving Forward
BCG, *2026 Global Automotive Supplier Study*

PHASED OPTION STRUCTURE

Three strategic postures — and why the sequencing matters more than the choice

I. Phased Option Timeline



II. The sequencing is the strategy

B funds C. C proves the model. C unlocks A.

Posture B — activate immediately
Sign a non-exclusive supply agreement with Uber Autonomous now. This generates near-term AV fleet revenue, maintains the relationship, and buys political goodwill during the Posture C build.

Posture C — primary commitment by month 6
Launch a human-supervised MaaS corridor in one EU city. Own the app, the concession, the pricing, and the rider data. The AV stack does not need to be solved to start — license it. The platform asset built here is what compounds over time and is what gives the OEM negotiating leverage it currently does not have.

Posture A — hold as a five-year option
Take a minority equity stake in the **licensing partner** instead. This preserves full-stack ownership as a credible path without committing the $2–4B and 4–7 years it requires today. The option is activated when C has proven its economics and the stack partner has reached the maturity threshold.

Current AV stack licensing partners active in Europe

There are three credible licensing partners a European OEM should evaluate, each with a different commercial model, risk profile, and strategic implication.

I. Mobileye

Overview
- Israel-based AV leader, subsidiary of Intel
- Strong EU presence: Germany, UK, Netherlands
- Powers ADAS in 300+ car models with 27 OEM partners[1]

Key Partnerships
- **Volkswagen:** rollout across up to 9M vehicles
- **Volvo & Subaru:** new OEM partners (2025)

II. Wayve

Overview
- UK-based AV company (HQ: London)
- Expanding EU footprint: Stuttgart hub opened (March 2025)
- Focus: end-to-end AI Driver for autonomous driving

Key Partnerships
- **Strategic investors:** Mercedes-Benz, Nissan, Stellantis (Series D, 2026)
- **Uber partnership:** robotaxis planned in 10+ global markets[2]

III. Waymo

Overview
- US-based AV leader, subsidiary of Alphabet Inc.
- Global benchmark for fully autonomous driving (L4)
- EU entry: London robotaxi launch planned (2026)

Key Partnerships
- **Moove:** fleet operations partner in London
- **Vehicle platform:** Jaguar I-Pace robotaxis
- OEM discussions mainly with **Toyota and Hyundai Motor Company**

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Only Mobileye is deployment-ready today, Wayve is next-wave (2026–2027), and Waymo remains a long-term strategic option rather than a near-term partner.

Source: (1) https://www.thebusinessresearchcompany.com/report/robotaxi-global-market-report
(2) https://research.contrary.com/company/waymo